4. **Devolution:** This consists of the transfer of funds to the urban local bodies from the state government. This devolution is made on the basis of the recommendations of the state finance commission.

5. **Loans:** The urban local bodies raise loans from the state government as well as financial institutions to meet their capital expenditure. They can borrow from the financial institutions or other bodies only with the approval of the state government.

CENTRAL COUNCIL OF LOCAL GOVERNMENT

The Central Council of Local Government was set up in 1954. It was constituted under Article 263 of the Constitution of India by an order of the President of India. Originally, it was known as the Central Council of Local Self-Government. However, the term 'self-government' was found to be superfluous and hence was replaced by the term 'government' in the 1980s. Till 1958, it dealt with both urban as well as rural local governments, but after 1958 it has been dealing with matters of urban local government only.

The Council is an advisory body. It consists of the Minister for Housing and Urban Affairs in the Government of India and the ministers for local self-government in states. The Union minister acts as the Chairman of the Council.

The Council performs the following functions with regard to local government:

1. Considering and recommending the policy matters
2. Making proposals for legislation
3. Examining the possibility of cooperation between the Centre and the states
4. Drawing up a common programme of action
5. Recommending Central financial assistance
6. Reviewing the work done by the local bodies with the Central financial assistance

Table 40.3 Articles Related to Municipalities at a Glance

Article No.	Subject-matter
243P	Definitions
243Q	Constitution of municipalities
243R	Composition of municipalities
243S	Constitution and composition of wards committees, and so on